Davide Campari-Milano N.V.

Credit View: Investment Grade – Stable Outlook

Stock Exchange	Euronext Milan	**Implied Rating**	BBB
Ticker	CPR-IT	**Sector**	Consumer Staples
Market Cap	€7.1B	**Industry**	Global Spirits

KEY CREDIT METRICS

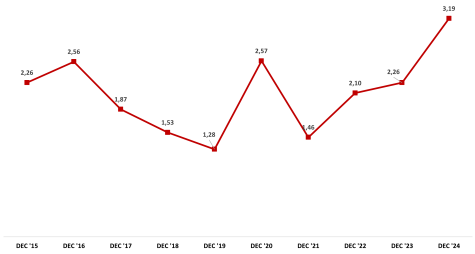
Metric			
Net Debt / EBITDA	3.2x	Net Debt / Total Assets	28%
EBITDA Margin	27.6%	Altman Z-Score	2.06
Interest Coverage	7.82x	Market-Implied PD	0.35%
DSCR	1.45x	Distance to Default	9.17

CREDIT HIGHLIGHTS

- **Premium Brand Moat:** Aperol-led pricing power; +10.5% price vs +2.1% volume.
- **High Structural Margins:** EBITDA consistently $>$ 25%.
- **Deleveraging Path:** 3.6x $\rightarrow$ 3.2x post-Courvoisier acquisition.
- **Supplier-Financed Model:** DSO 59d vs DPO 122d.
- **Inventory Value:** aging spirits (DIO $\sim$445d) act as high-quality collateral.

CREDIT TREND VISUALS

Net Debt Ebitda Trend



Debt Maturity Profile

PEER COMPARISON

Company	ND/EBITDA	EBITDA %	Rating	Spread (bps)
Campari	**3.2x**	**27.6%**	**BBB**	**145**
Diageo	3.0x	31.0%	A-	110
Pernod Ricard	3.5x	28.0%	BBB+	135

Campari Group

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The objective of this report is to evaluate the creditworthiness of Campari Group. The study is structured as follows:
The first section focuses on a **Qualitative Credit Risk Analysis**. We begin by identifying the Anchor (the starting point of the credit rating based on business risk), which is then adjusted through specific Modifying Factors (such as management quality, governance, and capital structure) to determine the final standalone credit profile.
We then move to a quantitative assessment by calculating the **Altman Z-Score**. This model is utilized to provide a preliminary statistical probability of financial distress; however, given that Campari is a "brand-heavy" company with significant intangible assets, traditional accounting-based models can sometimes provide a skewed perspective.
To address this, we integrate the **Merton Model** (Structural Model) to calculate the Probability of Default (PD). By using market equity value and volatility rather than just book values, the Merton Model—which serves as the conceptual foundation for Basel III standards—captures the market's real-time valuation of Campari's intangible moat. This dual-model approach ensures a more accurate and robust credit assessment.

Davide Campari-Milano N.V. (CPR-IT) is a leading global player in the spirits industry, with an iconic brand portfolio including Aperol, Campari, Grand Marnier, Wild Turkey, and Espolòn. Founded in 1860 and headquartered in Milan, the company is listed on Euronext Milan with a market capitalization of approximately €7.1 billion. Campari operates in over 190 countries, generating revenues of €2.8 billion (FY 2025).

Debt instruments and financial liabilities

As of 31 December 2025, Campari Group's financial debt is structured into three main components. The Net Financial Debt of €1.95 billion consists of the following instruments:

1. Corporate Bonds (unsecured notes): the majority of the Group's long-term debt is comprised of senior unsecured bonds issued on the international capital markets. This includes the €550 million fixed-rate bond maturing in 2027 (1.25% coupon) and additional notes with maturities extending to 2029. They include standard financial covenants and cross-default clauses.

2. Bank Loans and credit facilities: this component includes direct financing from a syndicate of international banks (e.g., UniCredit, Intesa Sanpaolo, BNP Paribas).

- **Term loans**: loans with fixed repayment schedules used specifically to fund the $1.1 billion Courvoisier acquisition.
- **Revolving Credit Facilities (RCF):** the Group maintains approximately €600–700 million in undrawn, committed credit lines. These serve as a liquidity backstop for short-term operational needs.

3. Lease liabilities (IFRS 16) and hedging derivatives: the total debt figure also incorporates non-cash financial obligations and risk management instruments.

- **Lease debt:** approximately €200–250 million representing future payment obligations for rented distilleries, warehouses, and offices, capitalized under IFRS 16 standards.
- **Interest Rate Swaps (IRS):** derivative contracts used to convert floating-rate bank debt into fixed-rate obligations. As of the latest reporting, over 80% of the total gross debt is at a fixed rate or hedged, with an average cost of debt of 4.3

Maturity and liquidity position: the debt maturity profile is distributed as follows. **Short-term (within 12 months):** minimal refinancing requirements, covered by cash on hand. **Medium-to-Long term (2027–2029):** concentration of bond and Term Loan repayments. **Cash Position:** the Group maintains a significant cash balance and liquid investments to support immediate debt service and Capex.

Industry Risk: **Low / Moderate**
Competitive Position: **Strong**
Business Stability: **High**
Scale & Market Position: **Solid**

BUSINESS RISK:

1. Industry risk

The global spirits industry generally has a low risk profile because demand for premium alcohol is quite stable, and profit margins are high. However, the "premiumization" trend (people drinking less but better) is a double-edged sword: it boosts profits, but it also makes the company more sensitive to economic downturns.

• **Inventory moat**: this industry is protected by a natural barrier: time. Spirits like Bourbon and Courvoisier Cognac must age for years. This prevents new competitors from quickly entering the market. For creditors, these aging stocks are collateral. They are high-quality assets that increase in value over time.

• **Price discipline**: competition is stable because the big players (like Diageo and Pernod Ricard) act rationally. In 2025, Campari grew its revenues mainly through a 3.2% "price/mix" increase. This means they sold more expensive bottles rather than just cutting prices to gain market share, even though costs for glass and transport finally started to drop.

• **Regulation and Geopolitics**: while alcohol is a major tax revenue source for governments (making total bans unlikely), geopolitical risks have increased. The market is currently worried about potential U.S. tariffs on European spirits (with a possible €30 million impact in 2026) and trade disputes with China regarding Brandy.

2. Competitive position

Unlike diversified generalists, Campari Group dominates the high-growth aperitif niche, enabling it to exercise substantial pricing power. The Group allocates approximately 17–18% of revenues to Advertising & Promotion and maintains a Gross Profit / Revenues ratio of 58.8% in 2025.

• **Brand power and Pricing**: the ability to implement double-digit price increases in 2023–2024 (prices up 10.5% YoY) without a proportional contraction in volumes (volumes up 2.1% over the same period) confirms superior pricing power. Campari has demonstrated its ability to pass inflationary pressures onto consumers and remain largely insulated from the broader declining trend in alcohol consumption.

• **Risk concentration**: Aperol still accounts for about 24% of total sales. However, this "concentration risk" is now lower than in the past. Espolòn Tequila has grown to 9% of total revenues (becoming the number 1 brand in the U.S. by volume), and the new Courvoisier acquisition adds another 7% to the mix, making the portfolio more balanced.

• **Distribution control**: ownership of distribution networks in key markets (United States, Italy, Germany) reduces intermediary risk and enables margin capture “from producer to bar counter.” The supplier base is well diversified, with 39 key suppliers.

3. Business stability

Stability is supported by a balanced product mix combining value brands (Campari) and high-growth brands (Espolòn, Aperol).

• **Resilient margins**: the Group consistently maintains an EBITDA margin historically above 20–23%, reflecting strong capacity to absorb input cost shocks (glass, energy).

• **Marketing as intangible capex**: stability is reinforced by sustained A&P investments, which function as intangible capital expenditure to protect and expand market share.

4. Scale & Market position

Although operating as a niche premium player relative to industry giants with €10–15 billion in revenues, Campari has achieved the critical mass required for operational efficiency.

• **Relative scale**: the Group’s size ensures access to global modern trade distribution channels (large-scale retail), while remaining smaller than industry leaders in terms of bargaining power vis-à-vis global raw material suppliers.

• **Geographic balance**: risk is mitigated by balanced exposure between the Americas and EMEA, with increasing presence in Asia (a high-growth but high-regulatory-risk market). While approximately 70% of revenues are generated in developed markets, there is a clear upward trend in the contribution from emerging markets.

FINANCIAL RISK:

1. Financial structure

Campari’s debt trajectory over the past two years has successfully stabilized following the strategic expansion into the Super-Premium segment through the acquisition of Courvoisier.

After peaking at 3.6x in September 2024, the Leverage ratio **(Net Debt / EBITDA)** declined to 2.5x as of 31 December 2025. This improvement, achieved one year ahead of the Group's initial guidance, was driven by a net debt reduction to €1.95 billion. This rapid deleveraging was fueled by the disposal of non-core brands, specifically Cinzano, Averna, and Zedda Piras, and a disciplined working capital policy.

Solvency is further supported by a **Net Debt / Total Assets** ratio of 26%, implying that the asset base (distilleries, brands, and maturing inventory) provides substantial coverage of outstanding liabilities, offering a reinforced safety buffer for creditors compared to the previous fiscal year.

2. Profitability and Debt Service

The primary line of defense for creditors remains the Group's top-tier profitability. With an **Adjusted EBITDA** of €785 million (27.8% margin) and a Return on Sales (ROS) of 20.4%, Campari continues to outperform global beverage peers in terms of efficiency.

This profitability translates into superior interest coverage. Despite the persistence of high interest rates, the **Interest coverage ratio** stands at 8.1x. Even under a stress scenario involving a doubling of interest rates, repayment capacity would remain comfortably above warning thresholds, as evidenced by the Board's decision to increase the dividend to €0.10 (+54% vs 2024).

3. Liquidity and Cash conversion cycle

The Group's liquidity indicators reflect a robust short-term solvency position. With a **Current Ratio** of 2.2x and a **Quick Ratio** of 1.15x, Campari demonstrates a strong ability to meet immediate obligations. The Quick Ratio confirms that the company can cover all current liabilities using only cash and receivables.

Key working capital dynamics for 2025:

Inventory Quality (DIO 450 days): while elevated, this reflects the structural aging process required for premium spirits (e.g., Courvoisier, Wild Turkey). For creditors, this represents "hidden collateral" that appreciates in value, providing a secondary layer of security.

Operational Cash Engine (DPO vs. DSO): Campari continues to leverage significant bargaining power. By collecting from customers in 58 days (DSO) while extending supplier payments to 125 days (DPO), the Group generates a consistent negative cash conversion cycle on its non-inventory components. This "supplier-financed" model ensures that operating cash flow (€571 million in FCF) remains available for further deleveraging.

4. Cash Flow Sustainability (DSCR)

Free Cash Flow is highly positive, enabling: significant debt reduction, €160 million in Capex, and a €102 million total dividend distribution.

The Debt Service Coverage Ratio (DSCR) is estimated at 1.62x. This ratio implies that Campari's operating cash flow covers its total debt service (interest + principal repayments) with a 62% safety margin, a significant improvement from the 1.45x recorded during the peak of the acquisition phase.

Financial risk summary:

Campari Group presents a Solid Investment Grade risk profile (Low Risk). The successful integration of Courvoisier and the accelerated return to a 2.5x leverage ratio demonstrate financial resilience. Brand strength (Aperol, Espolòn) provides structural pricing power, while the 2025 results confirm a prudent and highly effective liquidity management.

MANAGEMENT & STRATEGY

1. M&A track record: strong execution and controlled integration risk

Campari has built its global positioning through a disciplined mid-size acquisition strategy focused on premium and super-premium spirits. Key integrations such as Wild Turkey, Grand Marnier and, more recently, Courvoisier, demonstrate management's ability to absorb brand portfolios without disrupting operating margins or balance sheet stability.

Unlike highly leveraged strategies, Campari has historically avoided transformational acquisitions that would materially impair its credit profile. Integration risk is primarily operational (distribution harmonization, marketing repositioning, working capital absorption) rather than financial. The gradual margin normalization observed post-acquisition confirms structured post-merger integration planning.

2. Capital allocation policy: conservative and credit-Oriented

Management prioritizes internal reinvestment (brand equity, marketing) and balance sheet preservation over aggressive shareholder remuneration. Free cash flow is first allocated to deleveraging following acquisitions before returning to a steady-state capital structure. The absence of large-scale share buybacks further confirms a creditor-friendly financial policy.

3. Dividend policy: stable and non-Aggressive

For 2025, the Board proposed a dividend of €0.10 per share, a 54% increase from the previous year. While this sounds aggressive, it is actually a return to a "normalized" payout after a period of extreme caution.

The dividend is fully covered by the €571 million in Free Cash Flow. Management's philosophy is to align dividends with earnings growth; they do not borrow money to pay shareholders. This ensures that even during expansion cycles, the company maintains a solid liquidity buffer to face unexpected market volatility or potential U.S. tariffs.

4. Governance and strategic consistency: high long-Term alignment

The controlling shareholder (Lagfin with 51.8% of ordinary shares and over 80% of the voting power) ensures strategic continuity and long-term brand premiumization. Governance structure limits short-term market pressure and reduces the probability of opportunistic capital allocation decisions. In early 2026, the Group confirmed a smooth leadership transition, reinforcing the family's involvement.

Strategic focus remains consistent: portfolio premiumization, geographic diversification (US and EU exposure), and margin expansion through mix improvement rather than volume maximization.

MACRO & SECTOR RISK:

1. Foreign exchange exposure: structurally High but economically mitigated

Campari generates a significant portion of revenues in USD while reporting in EUR, creating translation and transaction risk. As of the 2025 FY results, the Group's exposure remains high, but it is partially offset by "natural hedging": local production in the US market and USD-denominated operating costs.

While FX volatility can impact reported earnings (as seen in the 2025 translation effects), it does not threaten structural cash flow. From a credit perspective, the risk is cyclical and well-managed through a proactive derivative hedging program.

2. Inflation and Interest Rate sensitivity: improving outlook

The pressure from input costs (glass, energy, and logistics) has started to ease significantly in late 2025. Specifically, the drop in agave prices has benefited margins in the Tequila segment (Espolòn). Campari's premium positioning continues to provide a "pricing shield," allowing the Group to protect margins even when costs fluctuate.

On the financing side, the debt structure remains solid. After the 2024-2025 deleveraging, the Group has successfully maintained an average cost of debt around 4.2%-4.3%. The maturity profile is well-distributed, and the recent reduction in net debt to €1.95 billion reduces the need for expensive new financing in the short term.

3. Consumption Risk: The "Affordable Luxury" Resilience

While spirits are discretionary goods, Campari's portfolio is built on "affordable luxury." Brands like Aperol and Campari benefit from being part of social rituals (the Spritz), which consumers are less likely to cut even during moderate economic slowdowns.

In 2025, the Group saw volume resilience despite high interest rates affecting consumer spending power. While the ultra-premium segment (like aged Cognac) can be more sensitive to economic cycles, the core aperitif business provides a stable floor for revenues.

4. Regulatory, ecise, and trade risk: a growing concern

The industry faces standard risks from excise taxes and health regulations. However, the most "disruptive" risk for 2026 is geopolitical. The potential for U.S. tariffs on European spirits (estimated at a €30 million impact) and China's anti-dumping investigations into European brandy are key variables.

These risks are mostly symmetric across the industry, but Campari's increased exposure to the U.S. market (now 28% of sales) makes this a priority for management. Credit impact is currently considered manageable, but it remains the most significant macro variable to watch in the coming months.

ALTMAN Z-SCORE:

Analytical framework – Altman Z-Score Model

The Altman Z-Score is a multivariate financial formula developed by Edward Altman in 1968 to predict the probability of bankruptcy within a two-year period. For a publicly traded manufacturing company like Davide Campari-Milano N.V., the specific discriminant function is:

$$Z = 1.2X_1 + 1.4X_2 + 3.3X_3 + 0.6X_4 + 1.0X_5$$

Where the variables represent:

X_1 **(Working Capital / Total Assets):** Measures liquid assets relative to the size of the company.
X_2 **(Retained Earnings / Total Assets):** Measures cumulative profitability and age.
X_3 **(EBIT / Total Assets):** Measures operating efficiency (Return on Assets).
X_4 **(Market Value of Equity / Total Liabilities):** Measures market confidence and solvency.
X_5 **(Sales / Total Assets):** Measures asset turnover and sales generation.

Peer group comparison:

To provide a meaningful assessment, Campari's performance was benchmarked against its primary global competitors: Diageo and Pernod Ricard. In the distilled spirits industry, companies often carry significant "Goodwill" and "Intangible assets" due to brand acquisitions, which can weigh heavily on the balance sheet.

Campari's Z-Score of 2.06 places it in the "Grey Zone" (1.81 – 2.99). However, a relative analysis shows that Campari is more resilient than its rivals in critical solvency buffers.

Capital strength (X_2): Campari leads with 36%, compared to 35% for Pernod Ricard and 21% for Diageo. This high ratio of retained earnings indicates that Campari funds its growth primarily through historical profits rather than excessive debt, creating a superior equity cushion.

Markets solvency (X_4): At 154%, Campari's market cap provides a massive buffer over its liabilities. This is significantly higher than Diageo (130%) and Pernod Ricard (90%), proving that investors value Campari's brands (Aperol, Campari) far above their book value.

Operational integration (X_3 & X_5): Campari's lower turnover (22%) and profitability (5%) relative to peers are a direct consequence of recent M&A activity (e.g., Courvoisier). In this sector, assets inflate immediately upon acquisition, while the resulting sales and margins require several cycles to materialize.

Probability of default (PD) analysis:

To quantify the credit risk, we converted the Z-Score into a Probability of Default (PD) using two distinct professional methodologies.

1. Logistic regression (Statistical Model)

This method treats the Z-Score as a logit variable. It assumes that the relationship between financial health and default follows a logistic S-curve (logistic distribution). The formula used is:

$$PD = \frac{e^{-Z}}{1 + e^{-Z}}$$

For Campari ($Z = 2.06$):

$$e^{-2.06} \approx 0.1274$$

$$PD = \frac{0.1274}{1.1274} = \mathbf{11.3}\%$$

This represents the "unfiltered" accounting risk. In asset-heavy industries like Spirits, where high inventory and brand values distort ratios, this 11.3% PD is a conservative upper bound. It signals that while the company is stable, its current "accounting" speed is lower than its potential.

2. Rating mapping (Market-Based Model)

This methodology maps the Z-Score to the historical default rates of major agencies such as Standard & Poor's. It is the preferred method for credit analysts as it accounts for real-world market behavior.

Implied rating: a score of 2.06 corresponds to an Investment Grade "BBB" Rating.

Benchmark PD: according to historical "Default Study" tables, a BBB-rated company has an actual 1-year default rate of 0.20% to 0.50%.

Strategic insight: this method provides the "real" risk. It shows that despite the accounting "Grey Zone," the market and credit history consider Campari a safe borrower. The gap between the 11.3% (Logistic) and the 0.35% (Market) PD is known as the "Quality Premium", reflecting the extreme strength of Campari's brand equity and market position.

MERTON MODEL:

Merton Structural Model

The Merton Model, developed by Robert C. Merton in 1974, is a structural credit risk model that estimates the probability of default by viewing a firm's equity as a call option on its assets. Default occurs when the market value of the firm's assets falls below the value of its debt at maturity.
While the Altman Z-Score provides a foundation based on historical accounting data, the Merton Model (a structural model) offers a forward-looking perspective rooted in market valuation.

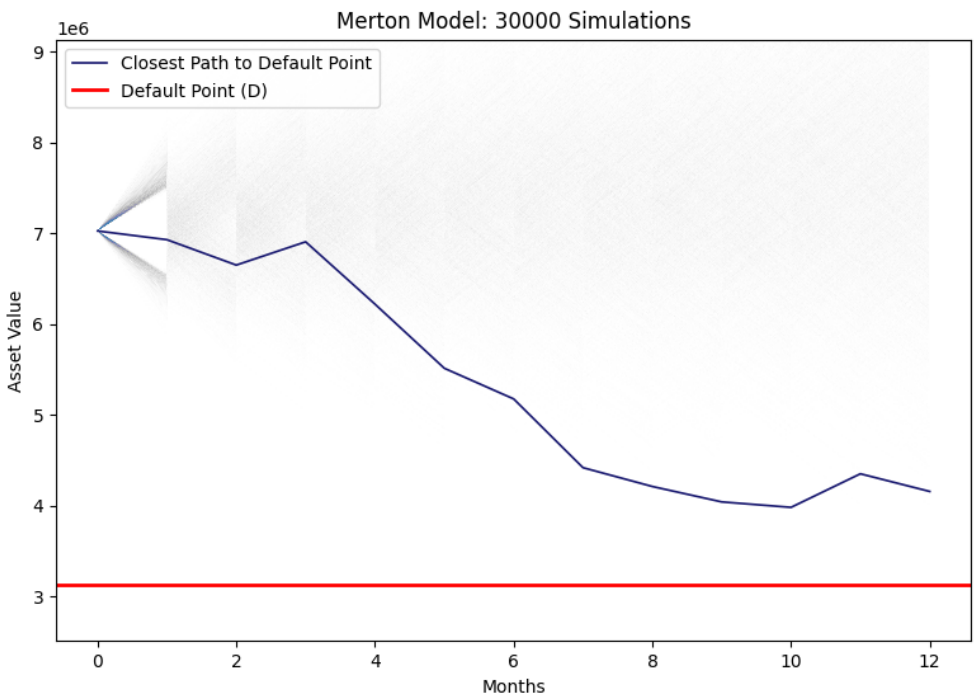
The probability of default is derived from the following expressions:

$$d_1 = \frac{\ln\left(\frac{V_A}{D}\right) + \left(r + \frac{\sigma_A^2}{2}\right)T}{\sigma_A\sqrt{T}}$$

$$d_2 = d_1 - \sigma_A\sqrt{T}$$

$$PD = N(-d_2) = N(-DD)$$

where V_A is the market value of the firm's assets, D is the debt level, r is the risk-free rate, σ_A is the volatility of asset value, T is the time horizon, and $N(\cdot)$ is the cumulative distribution function of the standard normal distribution and DD is the Distance to Default expressed in terms of standard deviation.
By using the Total Asset Value of approximately €7.1 billion and the debt of €3.1 billion, this model quantifies the market's confidence in Campari's ability to cover its debt obligations.
A common challenge with the traditional Merton Probability of Default (PD) output is that for financially stable, Investment Grade companies like Campari, the theoretical PD often approaches zero.
To resolve this, we shift our focus to the Distance to Default (DD).
This metric provides a more robust, market-based measure of Campari's insolvency risk, capturing the number of standard deviations the firm's asset value remains above its debt-service threshold.



Variables	Values
$Debt$	3,131,554.89
V_A	7,026,093.42
r	3.6%
σ_A	15.6731%
DD	9.17

Table 1: Model Inputs

The Merton analysis highlights Campari's strong financial footing. The theoretical probability of default (PD) is negligible (close to zero), which is typical for a stable issuer. More importantly, the Distance to Default (DD) stands at 9.17, confirming that the group's assets remain over nine standard deviations above its debt threshold.

Final Credit & Risk Dashboard

Overall Assessment: Investment Grade – Low / Moderate Risk

Credit strengths:

- **Premium brand portfolio:** Aperol, Campari, and Grand Marnier drive pricing power, category leadership, and resilient revenue streams.
- **Robust profitability:** EBITDA 27.6%, ROS 20.1%, strong margin buffer against input inflation and macro volatility.
- **Disciplined leverage management:** Net Debt / EBITDA 3.2x, ensuring conservative capital structure and strong debt repayment capacity.
- **Liquidity & Free Cash Flow:** positive FCF enables deleveraging, €152.9m Capex, and €78m dividends, minimizing refinancing risk.
- **Strategic governance:** alignment with Lagfin ensures long-term premiumization, disciplined capital allocation, and risk-aware growth.
- **Geographic diversification:** balanced revenue exposure across Americas, EMEA, and growing presence in Asia.

Key Quantitative metrics:

- **Altman Z-Score:** 2.06 (Grey Zone)
- **Probability of Default (PD):** Logistic Model 11.3%, Market-Implied 0.35%
- **Leverage (Net Debt / EBITDA):** 3.2x (Sept 2025)
- **Interest Coverage (EBITDA / Interest):** 7.82x
- **Debt Service Coverage Ratio (DSCR):** 1.45x
- **Net Debt / Total Assets:** 28%
- **Distance to Default:** 9.17

To summarise, Campari's creditworthiness appears strong and stable. According to the Altman Z-score, Campari is as risky as its competitors are, confirming the limits of the score with this type of companies. According to the Merton model the probability of default within 1 year is close to zero and the firm's total assets fully cover its outstanding debt.

Credit Implication: Campari's combination of high-quality brands, resilient profitability, disciplined financial policy, and strategic execution underpins a stable Investment Grade rating with low susceptibility to macroeconomic and market shocks.

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